

HM 489- International Economics (Winter 2026)

Instructor: Cyril Jos, FB-4

Course Placement- International Economics is an Elective course for third year (6th semester) BTech program.

Course format: It is 3 hours lecture every week.

Objective- The aim of this course is to provide students with a grounding in the principles of international economics so that they understand the world trade and payment system. The course covers the pure theory of trade and extensions thereof. Open-economy macroeconomics, including the determination of the exchange rate, is discussed and consequences of capital mobility are explored. The balance of payments adjustment policies under alternative exchange-rate regimes is discussed. Political economy issues in trade are also introduced.

Detailed Course Contents		
Topic Name	Content (2 -3 lines per 4 – 6 lectures)	No. of lectures
Introduction and International Trade Theory	Globalization of the World Economy, Mercantilism, Absolute advantage, Ricardian model of Comparative Advantage, Factor endowments and Heckscher Ohlin theory, Rybczynski theorem	6
Economies of Scale, Imperfect Competition and International Trade	Monopolistic competition and Trade, Significance of Intra-industry Trade, and Dumping and Economies of Dumping.	4
International Trade Policy	Basic Tariff Analysis, Effects of a Tariff : Consumer and Producer Surplus, The Partial Equilibrium Analysis of Tariffs, The General Equilibrium Analysis of Tariffs, Other Instruments of Trade Policy.	6
Political Economy of Trade Policy	Political Arguments for Free Trade: Free Trade and Efficiency, International Trade Agreements: from the GATT to WTO, Free Trade Areas versus Customs Union, Trade Creation and Trade Diversion.	4
Exchange Rates and Open Economy Macroeconomics	Foreign Exchange Markets and Equilibrium in the Foreign Exchange Market, Exchange Rate and Relative Prices, Interest Parity: The Basic Equilibrium Condition,	6

	Effects of Exchange Rates Changes on Expected Returns.	
Price Levels and Exchange Rates	Price Levels and the Exchange Rates in the Long Run, The Law of One Price, Purchasing Power Parity, Absolute PPP and Relative PPP, Problems with PPP.	5
Balance of Payments, Foreign Exchange Markets and Trade Elasticities	Output and the Exchange Rates in the Short Run due to Changes in Monetary and Fiscal Policy, Effects of a Devaluation on the Trade Balance, The J Curve Hypothesis, Exchange Rate Pass-through and Inflation, The Marshall-Lerner Condition, Monetary Approaches to BOP	6
International Monetary System	International Macroeconomic Policy under Gold Standard, 1870-1914, The Bretton Wood System and the IMF, Central bank interventions in fixed and flexible exchange rate regimes, capital mobility	5

References

International Economics: Trade and Finance, Dominick Salvatore

International Economics: Theory and Policy, Paul Krugman, Maurice Obstfeld, and Marc Melitz

Course Outcomes

After completion of this course, students will be familiar with:

- ☐ theories and practices in international trade;
- ☐ influence of the international economy on the domestic economy and vice-versa
- ☐ political economy issues in trade and their relevance in the modern day world.

Assessment method: Quizzes/assignments (30 per cent), in-semester examination (30 per cent) and end-sem examination (40 per cent).

Program Outcomes

P1	P2	P3	P4	P5	P6	P7	P8	P9	P10	P11	P12
			X	X				X	X		X